EduTap

IFSCA GRADE A

PHASE 2 | PAPER 1

MEMORY BASED PAPER

DETAILED EXPLANATIONS

Preface

Dear Students,

It is with great pleasure that we present to you this question paper document with detailed explanations for the **IFSCA Grade A Phase 2 Paper 1 2023**. This document has been meticulously to serve as a valuable resource for candidates preparing for the **IFSCA Grade A.**

Aspiring candidates are often confused about the pattern, difficulty level and types of questions that may appear in their upcoming exam.

Each question has been carefully solved, and its underlying concepts and principles have been thoroughly explained. This will help you in not only to practice answering questions but also helps you understand the reasoning and logic behind each correct answer. Through explanations, you will be able to reinforce your understanding, clarify any doubts, and develop a deeper grasp of the subject matter.

We wish you all the best in your exam preparation journey and hope that this document proves to be a valuable asset in your pursuit of success.

Disclaimer: While every effort has been made to ensure the accuracy and relevance of the questions, there can be some variations in the question language and options. Therefore, we encourage you to use these questions as a reference point. This will help you acquire a comprehensive understanding of the syllabus and increase your chances of success in the upcoming **IFSCA Grade A.**

IFSCA Grade A 2023 - Recollected Questions

PAPER-1 Descriptive English

Maximum marks (100) **Time (60mins)**

Instructions-

1. All questions are compulsory.
2. Figures to the right indicate maximum marks to each question.
3. Answers must be written only in English.
4. Marks will be deducted if the word limit is not observed.
5. No copies shall be entertained after the last date of submission.

Questions-

Q.1) Write an Essay of about 200 words on any one of the following topics: - (30 Marks)

1) How do foreign exchange reserves impact national markets?
2) Young India: a boon or bane?
3) Road ahead for Indian economy.
4) Why National Logistics Policy is Important?

Q.2) Make a Précis of the following passage in 120 words and give it a suitable title: - (35 Marks)

It's taboo but we all think about it. We are told it's not good to talk or even think about death.

We are all going to die. Death is a shadow that follows all the time. The recent pandemic had reminded us that death is always close by, one can face it any time, even the very next moment, there is nothing to be scared of it, and it is a fate we all will share.

Logically, all of us know that we are going to die but emotionally we feel invincible, and that is why we waste our time complaining so much, rather than being grateful enough. It's all because we don't have the right perception of death.

If you are going to die tomorrow, what will you do on your last day in this world? Would you rather waste your time thinking about the future or do something that will give you deep fulfilment and make your "now" more enjoyable.

Contemplating death puts things into perspective. We are here to experience life. It is just like a football game. The match starts when we are born, and when the final whistle blows, it's all over. There is no point in complaining about the weather, about your teammates not playing right. All you can do is go out there and do the best you can to score a goal.

Contemplating death makes you understand how precious this present moment is. The present never comes back. Future is just a concept; it never exists, what exists is now.

Awareness of death makes you feel liberated. Why will you not do something without thinking about what others might think of you? You are going to die one day. That day, the things that you are scared of won't matter. All your problems just won't matter, so invest your time in something that makes you happy.

The more you think about the inevitable death the more liberated you will be. Contemplating death makes you grateful for everything you have, everything you think, and all the experiences.

Look around for a second, look at the trees, the birds, and the people. There will come a time when everything that you see now will not exist, so every second spent with it is precious.

We are all going towards death, then why not say things that you never dared to say, forgiving the people with whom in the past you had negative experiences, and being grateful to people who had always been with you and had positively changed your life.

Becoming aware of your mortality is an awakening experience. It might help you in living your life authentically and entirely, and perhaps for the first time, you will truly be free.

Q.3) Read the given Passage and answer the Question given below based on the Passage:- (35 Marks)

India's service sector growth continued to strengthen in May, with companies reporting the quickest increase in business activity since April 2011, a monthly survey showed on Friday.

The seasonally adjusted S&P Global India Services PMI Business Activity Index rose to 58.9 in May from 57.9 in April, clocking the fastest rate of expansion in over 11 years. A reading above 50 indicates an overall increase in output.

The upturn was aided by a substantial pick-up in new business growth as demand continued to recover following the reopening of the economy after Covid-19 lockdowns.

"The reopening of the Indian economy continued to help lift growth in the service sector. Business activity rose at the quickest pace in over 11 years in May, supported by the fastest upturn in new orders since July 2011," says Pollyanna De Lima, economics associate director at S&P Global Market Intelligence.

Inflation outlook, however, worsened as input prices rose at the sharpest pace in the survey's history. Inflation showed no signs of abating as price gauges showed an unprecedented increase in input costs and the second-fastest upturn in selling charges in less than five years.

May data marks the twenty-third successive month of rising input prices at Indian service providers. The rate of inflation climbed to the highest in 16-and-a-half years of data collection.

Elevated price pressures continued to restrict business optimism. Despite picking up from April, the overall level of sentiment among service providers was historically subdued, says Lima.

Services firms reported substantial pressure from food, fuel, input, labour and transportation costs. But companies continued to transfer rising cost burdens to customers via upward adjustments to selling prices.

Despite remaining optimistic towards the 12-month outlook for business activity, firms remained concerned that inflationary pressures would dampen the economic recovery. The overall level of positive sentiment improved from April, but remained historically low.

There was a further increase in outstanding business among services firms during May. "The rise was fifth in consecutive months and the fastest in a year, but moderate overall. Where backlogs expanded, companies associated this with greater new orders," says the survey.

Still, service providers refrained from taking on additional workers in May. In fact, there was a renewed but only marginal decline in employment.

The latest results continued to signal subdued global demand for Indian services, with new business from abroad having now declined in each month since the onset of the Covid-19 pandemic in March 2020.

Consumer services remained the brightest spot of the service economy, posting the strongest increases in both new business and output during May.

A. Discuss the reasons for the spike seen in Service sector growth.

B. Discuss the impact of inflation on the public.

IFSCA Grade A 2023 - Recollected Questions Explanations

Section – Descriptive English

Q.1) Explanations:

1) **How do foreign exchange reserves impact national markets?**

The nation's foreign exchange reserves rose by $6.56 billion to $531.08 billion for the week ending October 28, according to the data that the Reserve Bank of India has released. India's foreign reserve logged its most significant jump since September 2021 and rose for the first time in three weeks for the week ending October 28. The rise in foreign currency reserves was helped by gains in foreign currency and gold.

The slight rise in itself might be an occurrence to rejoice at, but Spot forex reserves are still down from $607 billion at the end-March and have showcased a depletion of about $111.37 billion from the record high of 4642.45 as seen on September 3 last year. Oct 7 showcased the previous rise in forex reserves when gold reserves had lifted the forex reserves by a meager $ 204 million.

A gain in foreign currency has been one of the most prominent reasons behind the foreign currency assets, which form a significant part of the overall reserve. Foreign Currency assets rose $5.77 billion to $470.85 billion for the week ending October 28. Gold reserves showcased a rise of $556 million to $ 37.762 billion. Foreign exchange reserves form a crucial element in international trading between nations.

The optimal level of reserves has been indicated as a level where the marginal productivity of reserves plus the interest on assets equals the marginal productivity of real resources. This framework encompasses exchange rate stability as the predominant objective of reserve management. As the underlying costs and benefits of reserves can be measured in several ways, these approaches provide ample scope for developing various indicators for ascertaining an appropriate level of reserves.

While the sudden and rather singular spike in the increase of foreign reserves seems like an anomaly as of now, it could become a trend if the market conditions remain to be favorable. Even if the forex reserves tumble, the pace of development and progress of India never seems to be slowing down. Be a part of our nation's tremendous growth and reap the benefits of progress in every sector of the economy; let FDI India be your partner in supervising your investments in the right economic sectors at the right time. FDI India can provide the financial supervision and the permissions necessary for foreign direct investments in India. Invest today in the future that awaits tomorrow.

2) Young India: a boon or bane?

India, like many South Asian countries, has a young population. This is at once an opportunity for future economic growth, but it presents policymakers with the challenge of creating employment. According to the World Bank, the projected increase in South Asia's working-age population during 2020-2050 is some 254.m accounting for 30.6% of the increase worldwide. India alone will account for 16.5% of the increase. Meanwhile China's working-age population will decline over the same period by some 226m with falls in most parts of the developed world.

Clearly generating new jobs in India and the rest of South Asia is critical for economic growth and development, not just within the region but globally. But unemployment in India has increased in recent years, leading to protests by the youth in many parts of the country. Alongside the expansion of labour supply, increasing enrolment in education and a growing exodus of young people from agriculture are swelling the jobless ranks. Of all 15-29-year-old females in India, only 16.3% were attending schools or colleges in 2005. This proportion increased to 31.0% by 2018.

Until it was hit by the Covid-induced crisis, India's economy was growing at relatively fast rates. However, in 2020, the first year after the Covid-19 outbreak, India's GDP growth fell to negative rates (-7.3%), leaving millions of its informal sector workers without any source of income. At the root of India's employment crisis is stunted job creation in the manufacturing sector. The size of the manufacturing workforce in India fell from 61.3m in 2012 to 58.6m in 2018. It rose marginally to 59.8 million in 2020. Most of the job losses after 2012 occurred in micro and small industries.

Of India's total workforce of 471.0 million, only 12.3% are regular workers who receive some form of social security and are covered, at least partially, by laws that protect labour rights. The rest are mostly casual workers or petty producers surviving under various degrees of informality. One of the moving images of India's national lockdown in March 2020 during the Covid-19 outbreak was of thousands of poor migrant workers walking hundreds of kilometers to return to their villages.

The rising numbers of the young in India as well as in other South Asian countries offer a potential new source of demand that could revitalise the global economy. However, translating this potential requires policies that help raise the incomes of poor workers. These are policies that very often run counter to mainstream economics. Clearly, significant change at policy level is needed if India is to capitalise on the advantages its youthful population offers.

3) Road ahead for Indian economy.

Strong economic growth in the first quarter of FY 2022-23 helped India overcome the UK to become the fifth-largest economy after it recovered from repeated waves of COVID-19 pandemic shock. Real GDP in the first quarter of 2022–23 is currently about 4% higher than its corresponding 2019-20, indicating a strong start for India's recovery from the pandemic. Given the release of pent-up demand and the widespread vaccination coverage, the contact-intensive services sector will probably be the main driver of development in 2022–2023. Rising employment and substantially increasing private consumption, supported by rising consumer sentiment, will support GDP growth in the coming months.

Future capital spending of the government in the economy is expected to be supported by factors such as tax buoyancy, the streamlined tax system with low rates, a thorough assessment and rationalisation of the tariff structure, and the digitization of tax filing. In the medium run, increased capital spending on infrastructure and asset-building projects is set to increase growth multipliers, and with the revival in monsoon and the Kharif sowing, agriculture is also picking up momentum. The contact-based services sector has largely demonstrated promise to boost growth by unleashing the pent-up demand over the period of April-September 2022. The sector's success is being captured by a number of HFIs (High-Frequency Indicators) that are performing well, indicating the beginnings of a comeback.

India has emerged as the fastest-growing major economy in the world and is expected to be one of the top three economic powers in the world over the next 10-15 years, backed by its robust democracy and strong partnerships.

India's economic story during the first half of the current financial year highlighted the unwavering support the government gave to its capital expenditure, which, in FY 2022–23 (until August 2022), stood 46.8% higher than the same period last year. The ratio of revenue expenditure to capital outlay decreased from 6.4 in the previous year to 4.5 in the current year, signaling a clear change in favour of higher-quality spending. Stronger revenue generation as a result of improved tax compliance, increased profitability of the company, and increasing economic activity also contributed to rising capital spending levels.

Despite the continued global slowdown, India's exports climbed at the second highest rate this quarter. With a reduction in port congestion, supply networks are being restored. The CPI-C and WPI inflation reduction from April 2022 already reflects the impact. In August 2022, CPI-C inflation was 7.0%, down from 7.8% in April 2022. Similarly, WPI inflation has decreased from 15.4% in April 2022 to 12.4% in August 2022. With a proactive set of administrative actions by the government, flexible monetary policy, and a softening of global commodity prices and supply-chain bottlenecks, inflationary pressures in India look to be on the decline overall.

4) Why National Logistics Policy is Important?

The country spends between 13 and 14 percent of its GDP on logistical costs. While countries like Germany and Japan, which are renowned for their highly developed infrastructure and systems for logistics, spend just about 8% to 9% of their GDP on logistics.

In addition, the logistics industry is worth $200 billion and is supported by over 20 government agencies, 40 Partner Government Agencies (PGA), 37 export promotion councils, 500 certifications, over 10,000 commodities, and a large number of certificates. Additionally, it involves 50 IT ecosystems, banks, and insurance companies, together with 200 shipping companies, 36 logistics services, 129 inland container depots (ICD), and 166 container freight stations (CFS).

Unified Logistics Interface Platform (ULIP) has been identified as a promising initiative that has been conceptualized to provide an integrated platform that can be used effectively by stakeholders to enhance efficiency, utilize technology, and lower the cost of logistics in India. This initiative aims to achieve an “Atamnirbhar Bharat” in the logistics sector.

ULIP was chosen as one of the seven initiatives under the “Technology Commons” initiative, which leverages technology in specifically identified priority areas by developing world-class products and services.

Three levels make up the ULIP platform as a whole: the Integration layer, the Governance layer, and the Presentation layer. The goal is to develop a UPI-like framework that will allow the logistic department’s transactions to be authorized.

ULIP would bring together seven ministries on a single platform to give logistics companies details about the flow of cargo around the country. Additionally, the 17 digital platforms from the seven ministries will be integrated by the government into ULIP.

Data on cargo movement across the nation would be made available to logistics firms, importers, and exporters through ULIP, which will also assist in granting approvals for cargo transportation.

National Logistics Policy would lower logistics costs, boost international trade, help India become “Atmanirbhar” or self-sufficient, usher in wealth throughout the country, and open up new chances for our startups. The country’s farmers would benefit greatly from the program since it would enable them to market their products more quickly, cut down on waste, and avoid unnecessary delays, all of which would lower prices overall.

The National Logistics Policy is the obvious next step after the PM Gati Shakti National Master Plan and would offer a comprehensive roadmap for the growth of the whole logistics ecosystem.

Q.2) Explanation:

The euphoria of accepting death

Death has always been clung to human mind, only to be refreshed by the pandemic. We have logically accepted the death, but we emotionally deny the same. This is the reason we waste our time in petty things that we would never do knowing that this could be our last day. All around us is bound to perish and so are we. However, contemplating death and acknowledging its inevitability make us more liberated to do the right things, say stuff that we otherwise dare not say, forgive people and to walkover the negative experiences of life. The cognizance of mortality uplifts the spiritual status of a person enabling him to be free from the shackles of life.

Q.3) Explanation:

A. Discuss the reasons for the spike seen in Service sector growth.

Service sector is the seeing growth after the ease in the economic activities. Reasons for growth of services sector is given below:

a) As per Pollyanna De Lima, economics associate director of S&P global market intelligence reopening of the economy after the halt of activities in the region due to Covid control measures.

b) Businesses from abroad have declined in the country due to raised restriction in movement of goods and services in and out of the country. Demand for domestic services has risen sharply. This led to the spike in service sector growth.

Reopening of economy and less global interference have resulted in the growth of service sector.

B. Discuss the impact of inflation on the public.

Inflation is on the rise for the twenty-third month in May as per the survey of S&P global market intelligence. Inflation is hitting the public the most. Impacts of inflation on public are as follows:

a. Restriction on Businesses Optimism: Due to continuous rise in inflation businesses are restricted and not reducing prices in optimism of more rise in demand.
b. Burden of high cost of goods: Input prices are increasing which are resulting high selling price. Inflation has deteriorated the purchasing power of currency. Public having less disposable income due to rise of inflation in the economy.
c. Unemployment: Service providers, due to the threat of cost push inflation, refrain from employing new workers. Unemployment is rising effecting public at large.
d. Monetary and fiscal measures to contain the inflation must be taken by the regulators and government for better recovery of the economy.

C. Discuss the steps taken by service firms.

Service firms after the easing of economic activities were optimistic about the growth of the service sector as per Lima. Some steps taken by service firms amid the high inflation are as following:

a. Despite the optimism about the growth of the economy, service firms were concerned about the dampening of the economy again due to the high inflation. Sentiments of large number of people on the lower side will eventually result in decline in growth.

b. Pressure of increased prices of food, fuel, input, labour and transportation costs are passed on to the consumer.
c. Restriction on businesses expansion by the service firms has resulted in decline in employment rate.
d. Public with decreasing purchasing price and unemployment fear are suffering most due to the actions of service firms.